



Leveraged traders pay rent. Nobody on Canton is collecting it — auditably.

The problem

- **Idle majors, no honest yield.** Institutions and treasuries hold BTC, ETH and stablecoins on Canton with no native way to earn. Elsewhere, on-chain “yield” is mostly token emissions or hidden directional risk.
- **The real yield exists — but is unclaimable by institutions.** Perp funding is a structural cash flow: leveraged longs paid ~14%/yr on average across 3.2 years of Hyperliquid history. Capturing it needs a delta-neutral book — and running that book publicly on a transparent chain leaks every position to be traded against, while running it on an exchange gives auditors and counterparties nothing to verify.
- **Auditability and confidentiality are forced into a trade-off.** Regulated capital needs both at once. Transparent L1s give neither; only Canton's need-to-know disclosure makes “auditor sees everything, market sees nothing” possible.

The value

- **Market-neutral carry, productized.** Short the BTC/ETH perp on Hyperliquid, hold cBTC/cETH in Canton custody: price risk cancels, funding remains. The live basisyield.com engine, brought on-chain — sign-guarded so the vault never pays through negative-funding regimes.
- **Ledger-enforced trust.** Every lifecycle step is a real Daml transaction; net-delta ≈ 0 is asserted on-chain; NAV grows only by realized, oracle-marked funding — no phantom yield. The auditor party sees the full book live; each holder sees only their own; an outsider sees zero contracts. Enforced by Canton, not the UI.
- **A composable primitive with a stacking roadmap.** Vault shares are transferable Daml holdings; the spot leg targets CIP-56 token-standard holdings. As tokenized RWAs ship — DBS gold (H2 2026), DTCC T-bills (Oct 2026) — the margin itself earns base yield while backing the carry: an edge no crypto venue offers, since idle margin earns zero there.

12.2%

APY · 3.2y backtest

0.21%

max drawdown

4.7–22.6%

rolling-1y range

27,427×2

real HL funding prints

Non-lookahead replay of every hourly funding print Hyperliquid has paid (BTC + ETH), both-legs costs, sign-guarded, realized funding only. Today's compressed regime (~4.7%) sits at the bottom of the stated range — said plainly, not hidden.

Why it matters for Canton

This is the class of financial application only Canton makes viable: genuine economic activity, real liquidity flows between stablecoins, wrapped majors and margin — and a privacy model that lets regulated capital finally run a delta-neutral book on-chain. Every tokenized RWA Canton ships becomes the next carry pair or the next yield-bearing margin, through the same seams.